

**Superior Court of the State of California
County of Orange**

**TENTATIVE RULINGS FOR DEPARTMENT C32
JUDGE LEE L. GABRIEL, Dept. C32**

Date: June 30, 2026

APPEARANCES: Department C32 conducts non-evidentiary proceedings, such as law and motion, remotely, by Zoom videoconference. All counsel and self-represented parties appearing for such hearings must check-in online through the Court's civil video appearance website at <https://www.occourts.org/media-relations/civil.html> prior to the commencement of their hearing. Once the online check-in is completed, participants will be prompted to join the courtroom's Zoom hearing session. Check-in instructions and instructional video are available at <https://www.occourts.org/mediarelations/aci.html>. The Court's "Appearance Procedures and Information--Civil Unlimited and Complex" ("Appearance Procedures") and "Guidelines for Remote Appearances" ("Guidelines") are also available at <https://www.occourts.org/mediarelations/aci.html>.

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- Civil Court Reporter Pooling; and
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These are the Court's tentative rulings. They may become an order if the parties do not appear at the hearing. The Court also might make a different order at the hearing. (*Lewis v. Fletcher Jones Motor Cars, Inc.* (2012) 205 Cal.App.4th 436, 442, fn. 1.)

If the parties agree to submit on the Court's tentative rulings, please call the Court Clerk to inform the court that all parties submit on the Court's tentative ruling **(657-622-5232)**. The tentative ruling will then become the order of the Court upon a party or parties informing the Court that all parties submit to the Court's tentative ruling.

No filming, broadcasting, photography, or electronic recording is permitted of the video session pursuant to California Rules of Court, rule 1.150 and Orange County Superior Court rule 180.

#	Case Name	Tentative
1.	KOPICK, INC. VS. EPLEX, INC. 2025-01491949	MOTION TO BE RELIEVED AS COUNSEL OF RECORD The motion of attorneys Samuel Yu and Daniel Yu and law firm Kahana & Feld LLP to be relieved as counsel for defendant Jungwoo Lee is GRANTED. (Code Civ. Proc., § 284; Cal. Rules of Court, rule 3.1362.) Attorneys will be relieved as counsel of record for client effective upon filing of proof of service of the signed order on client. Moving attorney to give notice.
3.	NGUYEN VS. UNITED LENDER, LLC. 2020-01124778	MOTION TO LIFT STAY Defendant/Cross-Complainant United Lender, LLC's Motion to Lift Stay, Disburse Receivership Funds, and Disburse Interest and Costs Accrued During Appeal is GRANTED. <u>Procedural History:</u> On 7/20/21, the Court appointed a receiver under Code of Civil Procedure section 564(b)(11) with regard to the subject real property at 6475 Marigayle Circle in Huntington Beach. On 6/3/22, the Court granted the receiver authority to sell the property. The receiver sold the property for \$3,465,000 and escrow closed on 6/15/22. On 3/12/24, the Court granted summary judgment in favor of United Lender on Plaintiff's operative complaint. On 9/3/24, the Court ordered disbursement of \$2,756,108.33 in funds from sale of the subject property to United Lender. On 9/23/24, the Court granted Plaintiff's ex parte application to stay disbursement of the funds pending resolution of the appeal. On 3/19/26, the Court of Appeal issued its remittitur after upholding this Court's grant of summary judgment in favor of United Lender. Now, Defendant seeks disbursement of the previously awarded funds plus additional interest of \$375,091.67. Defendant further requests an order that the receiver disburse all remaining funds from the sale, minus a holdback of \$200,000 for the receiver's fees and costs. Defendant contends it is entitled to a total of \$3,132,076.90. The receiver has stated that after a \$200,000 holdback, the total amount available for disbursement is currently \$3,030,140.29. <u>Merits:</u> Plaintiff does not oppose the motion except to the extent that Defendant seeks to collect additional interest during the stay of

disbursement pending appeal. Plaintiff contends that the prior order was not a judgment and there is no legal basis for accrual of additional interest.

Defendant seeks additional interest on the principal sum of \$1,957,000.00 at the contractual rate of 10% per annum for the time period between approximately the time the prior motion for disbursement and the present motion was filed (6/1/24 – 5/1/26), for total additional interest of \$375,091.67 (1.9167 years x \$195,700.00).

Defendant cites the following language of the promissory note and deed of trust:

“Interest Rate. Commencing on the Closing Date, interest shall accrue on the unpaid principal balance of this Note at a rate per 360-day period equal to ten and 00/100 percent (10.00%) per annum (the ‘Loan Rate’).”

(Promissory Note, ¶ 2 [Ahdoot Decl., Ex. K].)

“2.1 Obligations Secured. Trustor makes this grant and assignment for the purpose of securing the following obligations (‘Secured Obligations’):

[¶¶]

(e) All interest and charges on all obligations secured hereby, including, without limitation, prepayment charges, late charges and loan fees”

(Deed of Trust, ¶ 2.1(e) [Ahdoot Decl., Ex. L].)

Defendant further asserts that the ex parte application which was granted on 9/23/24, staying disbursement, did not seek a stay of accruing interest – only a stay of disbursement. Rather, the application acknowledged that during the requested stay the funds would be “in the receiver’s account gaining interest.” (Plaintiff’s 9/17/24 Ex Parte Application, pp. 2, 5.)

Defendant has shown that the loan documents entitle it to interest during the period in which the principal balance remained unpaid, including the time period during which the disbursement was stayed pending appeal. Therefore, the request for interest in the amount of \$375,091.67 is granted. As set out at page 15 of the Motion, United Lender is therefore entitled to a total amount of \$3,132,076.90, including \$876 in costs on appeal.

The receiver shall promptly disburse \$3,030,140.29 to United Lender and the receiver shall continue to make period payments as requested in the motion, subject to a holdback of \$200,000.00 or such lesser amount as the receiver deems necessary.

4.	AMENDT VS. LUDDEN 2025-01500147	MOTION TO ENFORCE SETTLEMENT Plaintiff Wayne Amendt’s Motion to Enforce Settlement is GRANTED. <u>Legal Standard:</u> Code of Civil Procedure section 664.6 states, “(a) If parties to pending litigation stipulate, in a writing signed by the parties outside of the presence of the court or orally before the court, for settlement of the case, or part thereof, the court, upon motion, may enter judgment pursuant to the terms of the settlement. If requested by the parties, the court may retain jurisdiction over the parties to enforce the settlement until performance in full of the terms of the settlement.” <i>Hernandez v. Board of Education</i> (2004) 126 Cal.App.4th 1161, 1175–1176 (cleaned up), explains: “Prior to the enactment of section 664.6, a party seeking to enforce a settlement agreement had to file a new action alleging breach of contract and seeking either contract damages or specific performance of the settlement terms, or alternatively had to supplement the pleadings in a pending case. Although a summary judgment motion could be filed based on the newly pleaded contract or specific performance claim, summary judgment could be granted only if the opposing party failed to raise a triable issue of fact. Expeditious enforcement of a settlement agreement was therefore not always possible. Section 664.6 was enacted to provide a summary procedure for specifically enforcing a settlement contract without the need for a new lawsuit. [Citation] The power of the trial court under Code of Civil Procedure section 664.6, however, is extremely limited. Although a judge hearing a section 664.6 motion may receive evidence, determine disputed facts, and enter the terms of a settlement agreement as a judgment [citations], nothing in section 664.6 authorizes a judge to create the material terms of a settlement, as opposed to deciding what terms the parties themselves have previously agreed upon.” <u>Application:</u> Plaintiff asserts he reached a settlement with Defendant Charles Ludden in which Defendant agreed to pay \$407,500.00 no later than 1/12/26. (Ex. 2, ¶ 1.) The agreement stipulates to entry of judgment in that amount if Defendant failed to timely payment to Plaintiff’s counsel. (Ex. 2, ¶ 2.) Plaintiff’s counsel declares the agreement was executed by Defendant on 12/17/25 but Defendant failed to make the required payment as of 1/22/26. (LeVine Decl., ¶¶ 3-4.)
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		Defendant has not filed an opposition to the motion. Plaintiff has shown the parties entered a binding settlement agreement which included a stipulation to enter judgment pursuant to Code of Civil Procedure section 664.6 if Defendant did not comply. Defendant failed to make timely payment. Therefore, the motion is granted.
5.	SHANNON VS. BRIONES 2025-01503515	MOTION TO QUASH DISCOVERY SUBPOENA Plaintiff's Motion to Quash Deposition Subpoenas for Employment Records is CONTINUED to 8/11/26 at 9:00 a.m., in Dept. C32. As an initial matter, Defendants' opposition was untimely as it was filed and served on 6/23/26 but due on 6/16/26 pursuant to Code of Civil Procedure section 1005, subdivision (b). The court has discretion to accept or reject late-filed or served papers. (<i>See Rancho Mirage Country Club Homeowners Assn. v. Hazelbaker</i> (2016) 2 Cal.App.5th 252, 262 [citing Cal. Rules of Court, rule 3.1300, subd. (d)]; <i>Bozzi v. Nordstrom, Inc.</i> (2010) 186 Cal.App.4th 755, 765 [citations omitted].) The Court exercises its discretion and will accept the late filed opposition. On 6/24/26, Plaintiff filed a declaration stating the untimely opposition "substantially prejudiced Plaintiff because it effectively eliminated Plaintiff's ability to prepare and file a meaningful reply before the hearing." (ROA 57; Vogt Decl., ¶ 7.) As such, Plaintiff requests the Court not consider the opposition or allow Plaintiff additional time to file a reply. (Vogt Decl., ¶¶ 9-10.) The Court grants Plaintiff's request and continues the motion to allow Plaintiff the additional time to file its Reply. The Reply will be due 5 court days before the hearing. No further briefing other than the Reply is permitted.
6.	KRUPP VS. CALIFORNIA AUTOMOBILE INSURANCE COMPANY 2023-01370850	MOTION FOR LEAVE TO FILE CROSS-COMPLAINT Defendant California Automobile Insurance Company ("CAIC") moves for leave to file a cross-complaint against R.S. Builders is GRANTED. CAIC's Request for Judicial Notice of Exhibits 1 and 2 is GRANTED. A defendant can cross-complain against a codefendant or third person not yet a party to the action only if the cause of action asserted "(1) arises out of the same transaction, occurrence, or series of transactions or occurrences as the cause brought against him or (2) asserts a claim, right, or interest in the property or controversy which is the subject of the cause brought against him." (Code Civ. Proc. §428.10, subd. (b).)

		“Cross complaints for comparative equitable indemnity would appear virtually always transactionally related to the main action.” (<i>Time for Living Inc. v. Guy Hatfield Homes</i> (1991) 230 Cal.App.3d 30, 38-39.) This is because “[a]n indemnity claim effectively seeks to apportion among the parties to the indemnity action the precise liability claimed by the plaintiff in the main action; therefore the indemnity claim of necessity arises out of the same occurrences or series of occurrences as asserted by the plaintiff.” (<i>Id.</i> at p. 39.) If the proposed cross-complaint is permissive, leave of court may be granted “in the interests of justice” at any time during the course of the action. (Code Civ. Proc., § 428.50(c).) The proposed cross-complaint asserts causes of action for declaratory relief for implied whole indemnity, implied partial indemnity, and equitable apportionment against R.S. Builders. The proposed cross-complaint is therefore permissive. The claims are related to the incident alleged by Plaintiffs in their Third Amended Complaint. Plaintiffs allege the property suffered a catastrophic fire on December 13, 2022, that the loss was reported to CAIC, and that CAIC wrongfully denied coverage and purported to rescind the Policy. In a separate complaint filed against R.S. Builders, Plaintiffs allege that R.S. Builders’ work involving pipe sweating during the remodel caused the fire. (RJN, Ex. 2.) Therefore, the claims against CAIC and the proposed claims against R.S. Builders are related in that they share the same loss event, same property, and same alleged property damage. Given that CAIC intends to pursue indemnity claims against R.S. Builders, it would be an efficient use of judicial and party resources to have both complaints litigated in the same case. Further, trial is set for October 23, 2026, and Plaintiffs recently filed their Third Amended Complaint on June 16, 2016, thus Plaintiffs will not be prejudiced. Accordingly, the court finds that interests of justice weigh in favor of granting the motion for leave to file a cross-complaint against R.S. Builders. CAIC is to file the proposed Cross-Complaint, attached to the Motion, without any changes, modifications, or alterations, within 7 days of the date of the hearing. Moving party is to give notice.
7.	CARNEY VS. E & R CONSTRUCTION, INC. 2022-01279849	MOTION FOR LEAVE TO AMEND JUDGMENT Judgment creditor William J. Carney, Jr.’s Motion to Amend Judgment to Add Donna Michele Cortés aka Michele Bustamante-Cortés as a Judgment Debtor is DENIED. On 4/10/25, the Court entered judgment in favor of Plaintiff and against E&R in the amount of \$2,586,000.00 with interest at 10%

per annum together with costs and disbursements (the Judgment). (ROA 139.)

Carney moves to add Donna Michele Cortés aka Michele Bustamante-Cortés as judgment debtor under the Judgment.

Legal Standard

Code of Civil Procedure Section 187 provides: “When jurisdiction is, by the Constitution or this Code, or by any other statute, conferred on a Court or judicial officer, all the means necessary to carry it into effect are also given; and in the exercise of this jurisdiction, if the course of proceeding be not specifically pointed out by this Code or the statute, any suitable process or mode of proceeding may be adopted which may appear most conformable to the spirit of this Code.”

“Section 187 grants every court the power and authority to carry its jurisdiction into effect. This includes the authority to amend a judgment to add an alter ego of an original judgment debtor, and thereby make the additional judgment debtor liable on the judgment. Amending a judgment to add an alter ego of an original judgment debtor ‘is an equitable procedure based on the theory that the court is not amending the judgment to add a new defendant but is merely inserting the correct name of the real defendant.’” (*Highland Springs Conf. & Training Ctr. v. City of Banning* (2016) 244 Cal.App.4th 267, 280 [cleaned up].)

“To prevail on the motion, the judgment creditor must show, by a preponderance of the evidence, that: ‘(1) the parties to be added as judgment debtors had control of the underlying litigation and were virtually represented in that proceeding; (2) there is such a unity of interest and ownership that the separate personalities of the entity and the owners no longer exist; and (3) an inequitable result will follow if the acts are treated as those of the entity alone.’” (*Ibid.*, citation omitted.) “The decision to grant or deny the motion lies within the sound discretion of the trial court and will not be disturbed on appeal if there is a legal basis for the decision and substantial evidence supports it.” (*Ibid.*, citations omitted.)

In determining whether there is a sufficient unity of interest and ownership, the court considers many factors, including “the commingling of funds and assets of the two entities, identical equitable ownership in the two entities, use of the same offices and employees, disregard of corporate formalities, identical directors and officers, and use of one as a mere shell or conduit for the affairs of the other. Inadequate capitalization of the original judgment debtor is another factor. No single factor governs; courts must consider all of the circumstances of the case in determining whether it would be equitable to impose alter ego liability. (*Id.* at pp. 280-281 [cleaned up].)

“Alter ego ‘is an extreme remedy, sparingly used.’ ‘The standards for the application of alter ego principles are high, and the imposition of [alter ego] liability . . . is to be exercised reluctantly and cautiously.’ Still, ‘[t]he greatest liberality is to be encouraged’ in allowing judgments to be amended to add the ‘real defendant’ or alter ego of the original judgment debtor, ‘in order to see that justice is done.’ (*Id.* at p. 281.)

Cortés does not dispute the first element (i.e., control of the underlying litigation) has been satisfied. (Opp. at 5:28-6:3.)

As to the second factor, unity of interest and ownership, Carney focuses primarily on Cortés’ purported undercapitalization of E&R.

Carney contends that at the time Carney retired in 2021 and before Cortés took over, E&R had a gross profit of approximately \$2.5 million, almost \$6 million in total assets, and over \$3 million in stockholders’ equity. (Woollacott Decl., ¶ 9, Exs. 19-22.) Carney contends after Cortés took over E&R was run “into the ground in just a few short years.” (Mtn. at 11:1-2.)

Carney contends Cortés failed to capitalize E&R as needed to maintain its operations, leaving the corporation without sufficient capital to operate or pay its debts. (Mtn. at 11:6-10.)

Cortés contends beginning in mid-2022 and continuing into 2023 and early 2024, E&R incurred substantial legal fees relating to the underlying Carney litigation, which contributed to the financial pressure E&R experienced after she took over the company. (Cortés Decl., ¶ 8.) Cortés contends in 2023, E&R suffered substantial losses on two construction projects which caused losses approaching \$1 million. (Cortés Decl., ¶ 8.) Cortés contends E&R faced additional financial pressure from vendors, creditors, and taxing authorities, all of which contributed to E&R’s growing financial struggles. (Cortés Decl., ¶ 15.)

Cortés contends she advanced \$1,408,000.18 of her personal funds to E&R through dozens of separate loans and contributions to support its operations. (Cortés Decl., ¶¶ 9-12.)

Cortés contends as financial obligations accumulated, however, E&R increasingly had to direct available cash to immediate operating needs, including payroll and project completion, which limited its ability to satisfy all vendor and creditor obligations on time. (Cortés Decl., ¶ 18.) Ultimately, Cortés claims that despite her efforts and personal financial support, E&R’s financial condition continued to deteriorate, vendor obligations increased, tax liabilities increased, payroll became harder to meet, and E&R eventually became unable to continue operating. (Cortés Decl., ¶ 19.)

The Court does not find Carney’s contention Cortés undercapitalized E&R demonstrates “there is such a unity of interest and ownership that the separate personalities of the entity and the owners no longer exist.”

As an initial matter, while the analysis typically focuses on whether a corporation was properly capitalized at the outset, Carney does not contend E&R was created with inadequate capitalization. (See *Pearl v. Shore* (1971) 17 Cal. App. 3d 608, 617 [distinguishing poor management leading to loss of capital from initial capitalization for alter ego analysis]; see also (*Lopez v. Escamilla* (2022) 79 Cal.App.5th 646, 651 [“Meager capitalization supports an inference [] entities were *created* to avoid the personal liability of an alter ego.” [Emphasis added].

Ultimately, however, “[i]t is a fundamental rule that ‘[t]he conditions under which the corporate entity may be disregarded, or the corporation be regarded as the *alter ego* of the stockholders, necessarily vary according to the circumstances in each case. . . .’” (*Associated Vendors, Inc. v. Oakland Meat Co.* (1962) 210 Cal.App.2d 825, 836-837.)

Here, Carney contends Cortés’ undercapitalization of E&R once she took over warrants a finding she was its alter ego.

Carney does not demonstrate, however, E&R’s inability to meet its ordinary operating expenses was necessarily due to Cortés’ undercapitalization. Rather, Cortés describes various financial issues E&R was experiencing, such as the underlying litigation, losses from two large projects, and various vendor/creditor obligations, which Carney does not dispute. Thus, the purported undercapitalization does not support a finding it was part of Cortés’ effort to “avoid personal liability,” but appears to be the result of various mounting financial obligations.

Carney further contends Cortés refused to do what Carney did “when times get tough,” which was “fund[ing] revenue shortfalls by infusing new capital into the company, and [not relying] rely on collecting and spending accounts receivable.” (Mtn. at 12:3-5.)

Cortés contends, however, that she advanced \$1,408,000.18 of her personal funds to E&R through dozens of separate loans and contributions to support its operations. (Cortés Decl., ¶¶ 9-12.) While Carney disputes the amount of Cortés’ loans to E&R and whether they constitute capital (Cortés refers to the money as both “loans” and “contributions”), this demonstrates an effort to fund E&R’s immediate operating needs rather than allowing those needs to go unmet. (Cortés Decl., ¶ 18.)

Carney’s contention “Cortés used the money she should have paid to me under my agreement to instead operate the company” (Carney Decl., ¶ 4), further indicates Cortés attempted to keep E&R’s operations running.

Finally, even if Cortés’ undercapitalization of E&R was established, “[n]o single factor governs; courts must consider all of the circumstances of the case in determining whether it would be

equitable to impose alter ego liability. (*Highland Springs Conf. & Training Ctr.*, *supra*, 244 Cal.App.4th 267 at pp. 280-281.)

Carney has not demonstrated any of the other relevant factors in determining unity of interest and ownership apply to support a finding of alter ego liability. For example, Carney has not demonstrated Cortés disregarded corporate formalities, commingled her funds and assets with E&R’s, or that either entity was otherwise used “as a mere shell or conduit for the affairs of the other.”

As to the third factor, “[a]ll the moving party is required to prove is that the alter ego’s acts caused an inequitable result.” (*Triyar Hospitality Management, LLC v. WSI (II) – HWP, LLC* (2020) 57 Cal.App.5th 636, 642 [citation omitted].)

Carney contends Cortés’ acts rendering E&R insolvent creates an inequitable result as a matter of law. (Mtn. at 13:27-14:2.)

“[I]t is not sufficient to merely show that a creditor will remain unsatisfied if the corporate veil is not pierced, and thus set up such an unhappy circumstance as proof of an ‘inequitable result.’ In almost every instance where a plaintiff has attempted to invoke the doctrine he is an unsatisfied creditor. The purpose of the doctrine is not to protect every unsatisfied creditor, but rather to afford him protection, where some conduct amounting to bad faith makes it inequitable, under the applicable rule above cited, for the equitable owner of a corporation to hide behind its corporate veil. (*Associated Vendors, Inc.*, *supra*, 210 Cal.App.2d at p. 842.)

Carney relies on *Relentless Air Racing, LLC v. Airborne Turbine Ltd. Partnership* (2013) 222 Cal.App.4th 811, 813 to argue E&R has been rendered insolvent by Cortés, which is an inequitable result as a matter of law. In *Relentless*, however, the court founds the result to be inequitable where the individuals and corporations were found to be “one and the same.” (222 Cal.App.4th at p. 816.) Citing to *Relentless*, the court in *Triyar Hospitality Management, LLC* reached the same result stating, “Similarly, here, as long as Triyar is the sole judgment debtor, it is highly unlikely it will ever have assets to satisfy the judgment. Given that the trial court found Triyar and the Yaris are one and the same, it would be inequitable to preclude WSI from collecting its judgment by treating Triyar as a separate entity.” (57 Cal.App.5th at p. 716.)

Here, the Court finds there is insufficient evidence to demonstrate Cortés and E&R “are one and the same.”

Carney further argues the result would be inequitable because Cortés caused E&R to stop the payments to Carney and “took that money to operate E&R Construction, Inc., throughout pendency of the case, converting the money that should have been paid to Mr. Carney from cash in his hands to operating capital for the business he sold,

		which when reduced to a judgment on the jury’s verdict E&R Construction, Inc., is now unable to pay.” (Mtn. at 14:12-18.) This contention is essentially the same as the contention that Carney will remain an unsatisfied creditor. Moreover, while Carney argues it is inequitable Cortés used any capital to operate E&R rather than pay Carney, that is also what Carney argues Cortés should have done in light of E&R’s financial struggles as discussed above. Ultimately, in considering all of the relevant factors, the Court does not find Cortés and E&R to be one and the same for establishing alter ego liability. Finally, “a judgment debtor may be added if the equities overwhelmingly favor the amendment and it is necessary to prevent an injustice, even if all the formal elements generally necessary to establish alter ego liability are not present.” (<i>Favila v. Pasquarella</i> (2021) 65 Cal.App.5th 934, 949 [citation omitted].) Carney contends even if alter ego liability is not established, equity requires adding Cortés as a judgment debtor. In doing so, Carney relies on the same arguments in support of the third factor regarding an inequitable result. For the same reasons, the Court does not find the equities “overwhelmingly favor the necessary to amendment” where the formal elements for establishing alter ego liability are not present.
8.	LOS COYOTES KOREAN MEMBER ASSOCIATION VS. AG LOS COYOTES LLC 2024-01406947	MOTION FOR ATTORNEY FEES Defendants AG Los Coyotes, LLC and American Golf Corporation’s motion for attorney fees is GRANTED. Defendants AG Los Coyotes, LLC and American Golf Corporation (collectively, “Defendants”) move for an award against plaintiff Los Coyotes Korean Member Association (“Plaintiff”) for reasonable attorney fees in the amount of \$337,716.25. The Court declines to rule on Plaintiff’s objections (ROA 122) as immaterial to the ruling but the objections are preserved for purposes of appeal. (See <i>Reid v. Google, Inc.</i> (2010) 50 Cal.4th 512, 526 [“the trial court’s failure to rule expressly on any of Google’s evidentiary objections did not waive them on appeal”].) <u>Entitlement to Fees</u> Defendants contend they are entitled to recover attorney fees on two independent grounds: (1) as the prevailing party on the contract claims pursuant to Civil Code section 1717; and (2) as the prevailing defendant on the Consumers Legal Remedies Act (“CLRA”) claim pursuant to Civil Code section 1780, subdivision (e).

Civil Code section 1717

“In any action on a contract, where the contract specifically provides that attorney’s fees and costs, which are incurred to enforce that contract, shall be awarded either to one of the parties or to the prevailing party, then the party who is determined to be the party prevailing on the contract, whether he or she is the party specified in the contract or not, shall be entitled to reasonable attorney’s fees in addition to other costs.” (Code Civ., § 1717.) “[T]o invoke section 1717 and its reciprocity principles a party must show (1) he or she was sued on a contract containing an attorney fee provision; (2) he or she prevailed on the contract claims; and (3) the opponent would have been entitled to recover attorney fees had the opponent prevailed.” (*Brown Bark III, L.P. v. Haver* (2013) 219 Cal. App. 4th 809, 820.)

Each element is satisfied here. Regarding the first element, Plaintiff sued Defendants for breach of contract and breach of the covenant of good faith and fair dealing, i.e., the first and third causes of action of the complaint, respectively. (Compl., ¶¶ 22-26, 32-35.) In each of those causes of action, Plaintiff identified the Los Coyotes Country Club Rules and Regulations (“Rules and Regulations”) as the contract that Defendants allegedly breached. (Compl., ¶¶ 23, 25, 33-34, Exh. 1.) As part of its damages for each of its contract claims, Plaintiff sought recovery of attorney fees. (Compl., ¶¶ 33, 35, Prayer ¶ 3.)

The Rules and Regulations contains the following attorney fee provision: “If it is required to turn a Member’s account over to a collection agency or institute legal action to collect any dues or charges owed by a Member, or to enforce any provision of these Rules and Regulations against a Member, the Member agrees he or she shall be responsible for all costs of collection, including without limitation reasonable attorneys’ fees incurred and court costs.” (Chung Decl., Exh. 1 at § 11.5.) Accordingly, Plaintiff sued Defendants on a contract containing an attorney fee provision.

Regarding the second element, Defendants prevailed on the contract claims. On 11/18/25, the Court granted Defendants’ motion for summary judgment holding, among other things, that Plaintiff lacked standing and had no contractual relationship with Defendants. (Molen Decl., ¶ 8, Exh. D.)

As to the last element, if Plaintiff had prevailed on its contract claims, it would have been entitled to recover attorney fees. The fee provision awards fees to Defendants in any action it brings “to enforce any provision of these Rules and Regulations against a Member.” Since section 1717 renders the fee provision reciprocal, if a member sues Defendants to enforce any provision of the Rules and Regulations and prevails, the member would be entitled to recover attorney fees. Accordingly, Defendants are entitled to recover their reasonable attorney fees.

Plaintiff contends this action falls outside the scope of the fee provision because this is not a collections or enforcement action against an individual member but, instead, an action brought by a membership organization against the club operators. This argument lacks merit. First, as discussed above, section 1717 applies to make the attorney fee provision reciprocal so that a member or members who successfully sue the club operator are entitled to attorney fees. By alleging it is “an association made up of 316 members” (Compl., ¶ 1), Plaintiff sought to stand in the shoes of each member.

Second, Plaintiff’s contract claims fail within the scope of the fee provision because Plaintiff sued Defendants for breaching the Rules & Regulations regarding raising the membership dues (see, e.g., Compl., ¶¶ 11-15) and Defendants’ management of the food and beverage surcharge (see, e.g., Compl., ¶ 21).

Third, and most importantly, Plaintiff is estopped from asserting that the attorney fee provision does not apply. Plaintiff sought to recover attorney fees as part of its damages for the contract claims thereby invoking the fee provision. Plaintiff cannot have it both ways: “The purposes of section 1717 are thwarted when a party is able to use the threat of fees as a club, and seek to avoid liability for fees later.” (*Int’l Billing Servs., Inc. v. Emigh* (2000) 84 Cal.App.4th 1175, 1186.) “A pleader should not be permitted to threaten a litigant with the prospect of an adverse attorney fees award and avoid the same fate if unsuccessful . . . Such an outcome advances no tenable public policy, but rewards oppressive litigation practices.” (*Id.* at p. 1191.)

Plaintiff next argues section 1717 cannot be invoked to award fees for prevailing on a standing issue. This argument lacks merit as well. “The existence of an enforceable agreement is not a prerequisite to an award of attorneys fees under Civil Code section 1717. That section is available even where the prevailing party succeeds on the theory there was never an enforceable contract.” (*Manier v. Anaheim Business Center Co.* (1984) 161 Cal.App.3d 503, 505-06.) Accordingly, “when a person sued on a contract containing a provision for attorney fees to the prevailing party defends the litigation by successfully arguing the inapplicability, invalidity, unenforceability, or nonexistence of the same contract” the prevailing defendant is entitled to its attorneys’ fees under section 1717. (*Santisas v. Goodin* (1998) 17 Cal.4th 599, 611.)

Lastly, Plaintiff argues the fee provision is uncertain because it only addresses claims brought by Defendants and therefore must be construed against Defendants as the drafters pursuant to Civil Code section 1654. Section 2654 provides: “In cases of uncertainty not removed by the preceding rules, the language of a contract should be interpreted most strongly against the party who caused the uncertainty to exist.” The mere fact that the fee provision is unilateral, without more, does not render it uncertain. Even assuming any slight uncertainty exists, Civil Code section 1717

makes such a provision reciprocal thereby clarifying any purported uncertainty. Thus, section 1654 does not apply.

Based on the foregoing, Defendants are entitled to recover attorney fees on the contract claims pursuant to Civil Code section 1717.

Apportionment

“Where a cause of action based on the contract providing for attorney's fees is joined with other causes of action beyond the contract, the prevailing party may recover attorney's fees under section 1717 only as they relate to the contract action.” (*Reynolds Metals Co. v. Alperson* (1979) 25 Cal.3d 124, 129.) However, “[a]ttorney's fees need not be apportioned when incurred for representation on an issue common to both a cause of action in which fees are proper and one in which they are not allowed.” (*Id.* at pp. 129-30.) “Apportionment is not required when the claims for relief are so intertwined that it would be impracticable, if not impossible, to separate the attorney's time into compensable and noncompensable units.” (*Bell v. Vista Unified School Dist.* (2000) 82 Cal.App.4th 672, 687.)

Here, Plaintiff joined its two contract causes of action with six non-contract causes of action, all of which arose from the same alleged conduct. Defendants successfully defended all eight causes of action in its motion for summary judgment on the same grounds, including that Plaintiff’s lacked standing and lacked a relationship with Defendants. Therefore, the contract and noncontract claims are inextricably intertwined and apportionment is not required.

Plaintiff’s opposition is silent as to apportionment even though Defendants address it in their motion. Plaintiff therefore concedes the issue. (See *DuPont Merck Pharmaceutical Co. v. Sup. Ct.* (2000) 78 Cal.App.4th 562, 566 [“By failing to argue the contrary, plaintiffs concede this issue.”].)

Because apportionment is not required, the Court need not address Defendants’ basis for recovery of fees on the CLRA claim pursuant to Civil Code section 1780, subdivision (e).

Reasonableness of Fees

“[T]he fee setting inquiry in California ordinarily begins with the ‘lodestar,’ i.e., the number of hours reasonably expended multiplied by the reasonable hourly rate.” (*PLCM Grp. v. Drexler* (2000) 22 Cal. 4th 1084, 1095.) A trial court has broad discretion to determine the amount of reasonable attorney’s fees, as an experienced trial judge is in the best position to decide the value of professional services rendered in court. (*Ibid.*)

A party seeking an award of fees has the burden of establishing entitlement to an award, and of documenting the appropriate hours

		spent, and the hourly rates. (<i>569 E. County Blvd. LLC v Backcountry Against the Dump, Inc.</i> (2016) 6 Cal.App.5th 426, 432; <i>Lunada Biomedical v Nunez</i> (2014) 230 Cal.App.4th 459, 486.) In challenging an attorney’s fees request, the burden falls upon the challenging party to point to specific items challenged, with arguments and citation to evidence. General claims that fees are excessive insufficient. (<i>Premier Medical Management Systems, Inc. v. California Insurance Guarantee Association</i> (2008) 163 Cal.App.4th 550, 564.) A party cannot litigate tenaciously and then be heard to complain about the time incurred. (<i>Peak-Las Positas Partners v. Bollag</i> (2009) 172 Cal.App.4th 101, 114.) Defendants seek to recover \$337,716.25 in attorney fees. Defendants’ evidence establishes its counsel spent 438 hours defending the action over 18 months plus 8 hours anticipated for reviewing the opposition, drafting the reply brief, and preparing for and attending the hearing on the Motion. (Molen Decl., ¶¶ 6, 21, Exh. C.) The attorney’s hourly rates are \$600-\$1,000 and the non-attorney hourly rates are \$400-\$575. (Molen Decl. ¶¶ 14-18, Exh. C.) The court finds that the hourly rates and time spent defending the action are within a reasonable range. Plaintiff has not challenged the reasonableness of the amount of fees sought. The motion is GRANTED.
9.	CEBALLOS VS. CEBALLOS 2024-01429970	DEMURRER TO THIRD AMENDED COMPLAINT Defendant Yvonne Ceballos’s Demurrer to the Third Amended Complaint (TAC) is SUSTAINED without leave to amend. Publications made within judicial proceedings or “any other official proceeding authorized by law,” are privileged. (Civ. Code, § 47, sub. (b).) “The usual formulation is that the privilege applies to any communication (1) made in judicial or quasi-judicial proceedings; (2) by litigants or other participants authorized by law; (3) to achieve the objects of the litigation; and (4) that have some connection or logical relation to the action.” (<i>Silberg v. Anderson</i> (1990) 50 Cal.3d 205, 212.) “The principal purpose of [the privilege] is to afford litigants and witnesses ... the utmost freedom of access to the courts without fear of being harassed subsequently by derivative tort actions.” (<i>Id.</i> at p. 213.) “For policy reasons, even malicious or fraudulent communications are privileged under Civil Code section 47, subdivision (b).” (<i>Herterich v. Peltner</i> (2018) 20 Cal.App.5th 1132, 1139.) “Courts give the litigation privilege a ‘broad interpretation’ in order to further its principle purpose of protecting ‘access to the courts without fear of...derivative tort actions.’” (<i>People v. Potter Handy, LLP</i> (2023) 97 Cal.App.5th 938, 947.) Here, Plaintiff again claims Defendant’s letter submitted to the Los Angeles Superior Court,

Family Law Division, can be the basis of his claims. This Court previously ruled the letter is protected by the litigation privilege. Thus, Plaintiff cannot use the letter as a basis for his Intentional Infliction of Emotion Distress (IIED) claim either.

“A cause of action for intentional infliction of emotional distress exists when there is (1) extreme and outrageous conduct by the defendant with the intention of causing, or reckless disregard of the probability of causing, emotional distress; (2) the plaintiff’s suffering severe or extreme emotional distress; and (3) actual and proximate causation of the emotional distress by the defendant’s outrageous conduct.” (*Hughes v. Pair* (2009) 46 Cal.4th 1035, 1051 [internal quotations omitted] [superseded by statute on other grounds as stated in *Wawrzewski v. United Airlines, Inc.* (2024) 106 Cal.App.5th 663, 698-699.]

“A defendant’s conduct is ‘outrageous’ when it is so ‘extreme as to exceed all bounds of that usually tolerated in a civilized community.’” (*Hughes, supra*, 46 Cal.4th at pp. 1050-1051.) “It is not enough that the conduct be intentional and outrageous. It must also be conduct directed at the plaintiff, or occur in the presence of a plaintiff of whom the defendant is aware.” (*Catsouras v. Department of California Highway Patrol* (2010) 181 Cal.App.4th 856, 875.)

Whether allegations in a complaint rise to the level of extreme and outrageous is a determination that can be made as a matter of law. (See *Cochran v. Cochran* (1998) 65 Cal.App.4th 488, 494; See also *Trerice v. Blue Cross of California* (1989) 209 Cal.App.3d 878, 883.)

Plaintiff also claims “Defendant knowingly provided financial assistance to Plaintiff’s adult daughter ... despite awareness of Plaintiff’s estrangement and the foreseeable emotional harm such conduct would cause.” (TAC, p. 2.) Financial support of a person from a plaintiff as a matter of law is not extreme or outrageous conduct. Plaintiff cannot control others actions by claiming they cause him emotional distress and there is no legal authority which extends extreme or outrageous conduct to such innocuous actions.

Based on the above, the demurrer to the First Cause of Action is SUSTAINED.

“The elements of any negligence cause of action are duty, breach of duty, proximate cause, and damages.” (*Peredia v. HR Mobile Servs., Inc.* (2018) 25 Cal.App.5th 680, 687.)

Plaintiff alleges Defendant breached her duty of care by creating or increasing the risk of emotional injury to Plaintiff. As stated above, Plaintiff’s claim of emotional injury are insufficient. Thus, Defendant has not breached her duty of care to Plaintiff. Therefore, Plaintiff’s negligence claim fails as a matter of law.

		Based on the above, the demurrer to the Second Cause of Action is SUSTAINED. Plaintiff's latest attempt to amend his complaint has resulted in frivolous allegations being substituted in and previously rejected allegations being reasserted. Thus, the Court finds Plaintiff has no reasonable possibility of amending the complaint to assert a meritorious cause of action. Therefore, leave to amend is DENIED.
10.	MCMILLAN VS. R.W. SHELBY & CO., INC. 2026-01540339	1. DEMURRER TO COMPLAINT Defendants R.W. Selby & Co., Inc.; Chris Cordova; Shannon Fernadnez; and 30122 Niguel Apartments, LLC's Demurrer is OVERRULED. Defendants demur to the second through fourth causes of action on the ground Plaintiffs failed to adequately allege a landlord-tenant relationship which in an essential element of each cause of action. "A cardinal rule of pleading is that only the ultimate facts need be alleged." (<i>Ludgate Ins. Co. v. Lockheed Martin Corp.</i> (2000) 82 Cal.App.4th 592, 606.) Plaintiffs have plead sufficient ultimate facts to allege Defendants are Plaintiffs' landlord. Plaintiffs allege the parties "were in a landlord-tenant relationship created by a written lease agreement ('Lease')." (Compl., ¶ 23.) Thus, Defendants' demurrer is overruled. 2. MOTION TO STRIKE PORTIONS OF COMPLAINT Defendants R.W. Selby & Co., Inc.; Chris Cordova; Shannon Fernadnez; and 30122 Niguel Apartments, LLC's Motion to Strike Portions of the Complaint is DENIED. Defendants seek to strike references to punitive damages in the Complaint. A demand for punitive damages for the commission of any tort requires more than the mere allegation of the "oppression, fraud, and malice" language found in Civil Code section 3294. (See <i>Perkins v Superior Court</i> (1981) 117 Cal.App.3d 1, 6-7.) "[F]acts must be alleged in the pleading to support such a claim." (<i>Grieves v. Superior Court</i> (1984) 157 Cal.App.3d 159, 166.) The facts alleged must show the defendant "act[ed] with the intent to vex, injure or annoy, or with a conscious disregard of the plaintiff's rights." (<i>Silberg v. California Life Ins. Co.</i> (1974) 11 Cal.3d 452, 462.) Section 3294, subdivision (c) defines malice, oppression and fraud as follows: "(1) 'Malice' means conduct which is intended by the defendant to cause injury to the plaintiff or despicable conduct which is carried on by the defendant with a willful and conscious disregard of the rights or safety of others. [¶] (2) 'Oppression' means despicable conduct that subjects a person to cruel and unjust

		hardship in conscious disregard of that person's rights. [¶] (3) ‘Fraud’ means an intentional misrepresentation, deceit, or concealment of a material fact known to the defendant with the intention on the part of the defendant of thereby depriving a person of property or legal rights or otherwise causing injury.” Plaintiffs’ allegations are sufficient to support a claim for punitive damages. Plaintiffs allege they notified Defendants numerous times of repeated leaks and flooding in the premises. (Compl., ¶ 3.) Defendants delayed remediating the leaks and flooding, failed to do any mold testing, failed to properly inspect the premises, failed to address the cause of the leaks, and failed to take precautions to prevent additional mold growth. (Compl., ¶ 3.) Defendants were notified of toxic mold in Plaintiffs’ apartment in October 2024 and their remediation failed to properly remove the mold. (Compl., ¶¶ 1-2.) The mold issue persisted until at least March 2025, and Defendants demanded continued payment of rent without properly remediating the mold of leaks. (Compl., ¶¶ 4, 16.) The allegations are sufficient to allege a conscious disregard for Plaintiffs’ health. Accordingly, Defendants’ Motion to Strike is denied.
12.	ECKHOFF VS. FAMILIES FORWARD 202601574381	ORDER TO SHOW CAUSE RE: PRELIMINARY INJUNCTION Petitioner Stephanie Eckhoff seeks a Preliminary Injunction restraining and enjoining Respondent Families Forward from taking any action to further terminate her program status or her continued possession of the premises located at 17 Cascade, Irvine, CA 92605 is CONTINUED to July 14, 2026, at 9:00 a.m., in Department C32. <u>Factual Background:</u> On June 2, 2026, Petitioner filed a verified Petition for Writ of Administrative Mandamus against Respondent Families Forward, challenging Families Forward’s termination of Petitioner’s enrollment in the Rapid Rehousing Plus Program. (Petition for Writ of Administrative Mandate (“Petition”), ¶ 12, 28.) Petitioner contends she has a documented mental health disability and that she and her two minor children (one of whom has since turned 18 and one of whom is 12 years old) experienced chronic homelessness prior to January 2025. (Petition, ¶¶ 9, 10.) On January 22, 2025, Petitioner was enrolled in the Rapid Rehousing Plus program administered by Families Forward. (Petitioner, ¶ 12.) Petitioner’s enrollment in the program was terminated on February 28, 2026. (Petitioner’s Decl., ¶ 19.) Petitioner contends Families Forward (1) violated 24 C.F.R. § 576.402 by terminating Petitioner’s rental assistance without providing written notice, without stating clear reasons for termination, and without providing Petitioner with an opportunity to present objections before an impartial decision-maker; (2) violated HUD HMIS data standards and CES requirements; and

(3) abused its discretion and failed to proceed in a manner required by law.

On June 16, 2026, the court granted Petitioner's request for a Temporary Restraining Order thereby restraining and enjoining Respondent from taking any action to further terminate Petitioner's status within the program or Petitioner's continued possession of the premises at 17 Cascade, Irvine, CA 92605. (ROA 31.)

Legal Standard:

The burden is on the party "seeking injunctive relief, to show all elements necessary to support issuance of a preliminary injunction." (*O'Connell v. Superior Court* (2006) 141 Cal.App.4th 1452, 1481.) "A trial court considers two interrelated factors when determining whether to issue a preliminary injunction: '(1) the likelihood that the plaintiff will prevail on the merits, and (2) the relative balance of harms that is likely to result from the granting or denial of interim injunctive relief. [Citations.]' [Citation.] These two factors 'are described as *interrelated* factors because the greater the plaintiff's showing on one, the less must be shown on the other to obtain an injunction. [Citation.] The goal of this test is to minimize the harm that an erroneous interim decision would cause. [Citations.]' [Citation.]" (*Mae M. v. Komrosky* (2025) 111 Cal.App.5th 198, 213.) "The trial court's determination must be guided by a 'mix' of the potential-merit and interim-harm factors; the greater the plaintiff's showing on one, the less must be shown on the other to support an injunction." (*Butt v. State of California* (1992) 4 Cal.4th 668, 678.) "A trial court may not grant a preliminary injunction, regardless of the balance of interim harm, unless there is some possibility that the plaintiff would ultimately prevail on the merits of the claim." (*Ibid.*)

Code of Civil Procedure section 1094.5, subdivision (g), provides in relevant part, "the court in which proceedings under this section are instituted may stay the operation of the administrative order or decision pending the judgment of the court, or until the filing of a notice of appeal from the judgment or until the expiration of the time for filing the notice, whichever occurs first. However, no such stay shall be imposed or continued if the court is satisfied that it is against the public interest." This statute "unequivocally requires the superior court weigh the public interest in each individual case." (*Sterling v. Santa Monica Rent Control Bd.* (1985) 168 Cal.App.3d 176, 187.) The court is required to weigh "the public interest when considering whether to grant the request for a preliminary injunction." (*Am. Indian Model Schs. v. Oakland Unified Sch. Dist.* (2014) 227 Cal.App.4th 258, 295.)

"The merits of the application for preliminary injunction necessarily hinge upon the merits of the petition for mandamus." (*Env't Prot. Info. Ctr., Inc. v. Johnson* (1985) 170 Cal.App.3d 604, 614, fn. 6.) Here, the Petition references exhibits H (§ 10), K (§§18, 44(d)); L (§§ 23, 24), and D (§ 30). Additionally, Petitioner's declaration attached to

	the Petition references Exhibit J in paragraph 43. However, none of these exhibits were filed with the Petition or Petitioner's declaration. (ROA 1.) The court cannot determine the merits of the Petition without the referenced exhibits upon which Petitioner's arguments are based. Therefore, the court continues the hearing to allow Petitioner to file the missing exhibits. Petitioner is to file the missing exhibits no later than 7 days before the continued hearing. The Temporary Restraining Order issued on 6-16-26 to remain in effect until the continued hearing. Petitioner to give notice.
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